

Detailed Notes: *What (if Anything) Is Wrong with Capitalism?* – Rahel Jaeggi

Background of the Article

Rahel Jaeggi wrote this article because criticism of capitalism has become increasingly common, especially after economic crises and growing inequality.

Her central question is:

What exactly is wrong with capitalism?

Many people say capitalism is bad, unfair, or dysfunctional, but Jaeggi wants to know:

- Is capitalism wrong because it doesn't work?
- Is it wrong because it is unjust?
- Is it wrong because it creates an unhealthy way of life?

She argues that before criticizing capitalism, we must understand **which kind of criticism we are making**.

What is Capitalism?

Jaeggi defines capitalism as more than just an economic system.

It is a **social and economic order** that shapes society, politics, culture, and everyday life.

Main Features of Capitalism

1. Private Ownership

Individuals or companies own factories, land, machines, and businesses.

Example:

- A factory belongs to a private company rather than the government.

2. Free Labor Market

Workers sell their labor in exchange for wages.

Example:

- A pharmacist works for a pharmaceutical company and receives a salary.

3. Capital Accumulation

Businesses seek to increase wealth and profits.

Example:

- A company reinvests profits to expand operations.

4. Profit Orientation

Production is guided by profit rather than human need.

Example:

- A company may produce expensive luxury goods because they generate profit, even if many people need affordable essentials.

Three Ways to Critique Capitalism

Jaeggi identifies three major forms of criticism:

Functional Critique

Asks:

Does capitalism work properly?

Moral Critique

Asks:

Is capitalism fair and just?

Ethical Critique

Asks:

Does capitalism help people live meaningful and fulfilling lives?

1. Functional Critique of Capitalism

Main Claim

Capitalism is criticized because it is unstable and creates crises.

Supporters of this critique believe capitalism contains internal problems that eventually damage the system itself.

Examples of Functional Problems

Economic Crises

Boom-and-bust cycles occur repeatedly.

Example:

- Financial crashes
- Recessions
- Mass unemployment

Poverty

Even while creating wealth, capitalism may also create poverty.

Environmental Damage

Businesses often exploit natural resources to maximize profits.

Public Goods Problem

The market may fail to provide services such as:

- Healthcare
- Education
- Environmental protection

Jaeggi's Criticism of Functional Critique

She argues that functional criticism appears objective but actually depends on values.

To say something is dysfunctional means it is failing to perform a certain function.

For example:

A knife is dysfunctional because:

- Its purpose is cutting.
- It cannot cut.

But what is capitalism's purpose?

Different people answer differently:

- Generate wealth?
- Promote equality?
- Create jobs?
- Protect nature?

Because people disagree on capitalism's goals, deciding whether it functions properly is difficult.

Key Idea

Functional critiques always depend on hidden values.

When we say:

"Capitalism is failing."

We are really saying:

"Capitalism is failing to achieve something we believe is important."

Therefore, functional criticism cannot completely avoid moral judgments.

2. Moral Critique of Capitalism

Main Claim

Capitalism is morally wrong because it exploits people and creates injustice.

This critique focuses on fairness and rights.

Exploitation

The key concept in moral criticism is exploitation.

Exploitation occurs when:

- One party benefits unfairly.
- Another party receives less than they deserve.

Examples include:

- Child labor
- Sweatshops
- Extremely low wages
- Unsafe working conditions

Everyday Understanding of Exploitation

According to common understanding, exploitation involves:

1. Unfair Exchange

A person gives more than they receive.

Example:

A worker produces goods worth GH¢500 but receives only GH¢50.

2. Treating People as Objects

People are used merely as tools for profit.

3. Unequal Power

One side has much more power than the other.

Example:

A poor worker may have little choice but to accept unfair conditions.

Marx's View of Exploitation

Jaeggi spends significant time discussing the philosopher and economist Karl Marx.

Marx argues that exploitation is built into capitalism itself.

Workers create value through labor.

However:

- Part of that value returns as wages.
- The remaining value becomes profit.

This profit is called:

Surplus Value

Capitalists keep the surplus value generated by workers.

Thus, exploitation is not an accident.

It is part of how capitalism operates.

Problem with Moral Critique

Jaeggi argues that exploitation existed before capitalism.

Examples:

- Slavery
- Feudal societies
- Forced labor systems

Therefore, simply pointing to exploitation does not prove that capitalism itself is uniquely bad.

Jaeggi's Important Insight

The deeper issue is not just unfair wages.

The deeper issue is the entire social system that allows people and labor to be treated as commodities.

This means moral criticism alone is insufficient.

We must analyze capitalism as a complete social order.

3. Ethical Critique of Capitalism

Main Claim

Capitalism creates a poor way of life.

Unlike moral criticism, ethical criticism asks:

What kind of people does capitalism make us become?

What kind of society does it create?

Alienation

One major concept is:

Alienation

Alienation means becoming disconnected from:

- Your work
- Other people
- Yourself
- Society

Example:

A worker may spend years doing repetitive tasks without feeling any personal connection to the work.

This creates feelings of emptiness and meaninglessness.

Commodification

Another major concept is:

Commodification

Things that were not traditionally bought and sold become commodities.

Examples:

- Labor
- Relationships
- Personal skills
- Human services

The market begins to influence all areas of life.

Objectification

Objectification occurs when people are treated like objects instead of human beings.

Example:

An employee may be valued only for productivity rather than personality, creativity, or dignity.

Greed and Consumerism

Ethical critics argue capitalism encourages:

- Constant competition
- Endless consumption
- Materialism
- Greed

People begin to measure success mainly through wealth and possessions.

Problems with Ethical Critique

Jaeggi identifies two challenges.

Challenge 1

Are these problems caused by capitalism or modern society generally?

For example:

- Technology
- Urbanization
- Industrialization

may also contribute to alienation.

Challenge 2

Capitalism has positive aspects too.

For example:

Market Freedom

People can choose jobs.

Independence

Money allows people to act independently.

Personal Choice

Individuals have greater freedom than in feudal societies.

Thus capitalism creates both benefits and harms.

Jaeggi's Final Conclusion

Each form of criticism is valuable but incomplete.

Critique	Strength	Weakness
Functional	Shows crises and instability	Depends on value judgments
Moral	Shows injustice and exploitation	Not unique to capitalism
Ethical	Examines quality of life	Difficult to establish standards

Critique of Capitalism as a Form of Life

Jaeggi's main conclusion is that capitalism should be understood as a **form of life**, not merely an economic system.

A complete critique must combine:

Functional Dimension

How capitalism operates.

Moral Dimension

Whether it is just.

Ethical Dimension d

Whether it supports human flourishing.

Only by combining all three can we fully understand what may be wrong with capitalism.

Likely Exam Questions

1. What are the main characteristics of capitalism?

- Private ownership
- Free labor market
- Capital accumulation
- Profit-oriented production

2. Explain the functional critique of capitalism.

Capitalism is criticized for producing crises, instability, poverty, and environmental damage.

3. Explain the moral critique of capitalism.

Capitalism is criticized for exploitation and injustice, particularly through unequal distribution of benefits.

4. Explain Marx's concept of exploitation.

Workers create value, but capitalists keep surplus value as profit.

5. Explain the ethical critique of capitalism.

Capitalism may create alienation, commodification, objectification, and an unfulfilling way of life.

6. What is Jaeggi's final conclusion?

No single critique is sufficient. Capitalism must be criticized as a complete form of life by combining functional, moral, and ethical perspectives.